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NIRANJANA BANODKAR

GROUP CFO, YES BANK

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and 2024-25.

Historically, public sector undertakings in infrastructure, railways and energy have dominated India’s sustainable debt market. However, experts note the market is rapidly diversifying with private companies, banks and NBFCs also raising sustainable finance. Several municipal bodies have raised green bonds in recent years too. However, that market is still nascent, although promising.

Dube of CAREEdge ESG says India still lacks a published, legally operative national green taxonomy.

“There are three fundamental challenges that we need to address systemically. First, the absence of a nationally notified green taxonomy

creates ambiguity—for issuers who do not know what qualifies as green, for investors who cannot independently verify claims, and for regulators who cannot enforce standards without a legal definition. The draft Climate Finance Taxonomy is a critical and welcome development, but its notified operationalisation is overdue,” he says.

“India’s domestic institutional investors—insurance companies, pension funds, mutual funds—are governed by mandates that do not explicitly reward or incentivise green investments. Without institutional mandates or regulatory incentives linking green instruments to portfolio requirements, sustainable instruments must compete on

yield alone—which is structurally disadvantageous,” says Dube.

Apurva Rathod, chief sustainability officer at L&T Finance, also says India needs a clear standardised green taxonomy.

“While Sebi has defined what constitutes a green bond, a detailed comprehensive framework backed by the RBI is needed to help lenders confidently define and build their green portfolios. Right now, every lender defines ‘green’ differently, which makes it difficult to measure real outcomes,” says Rathod.

Many rural and semi-urban borrowers do not understand green finance products, and many lenders do not have the tools to assess climate risk properly. Regulators, industry bodies and financial institutions all need to invest in fixing this together.

Citing an independent study by the Council on Energy, Environment and Water (CEEW), Niranjana Banodkar, group CFO at Yes Bank, says India could attract approximately \$4.1 trillion in cumulative green investments, create 48 million jobs, and unlock a \$1.1 trillion annual green market by 2047, covering emerging value chains across energy transition, circular economy, bio-economy and nature-based solutions.

“Unlocking this potential and developing a new green developmental model for achieving Viksit Bharat will require structural interventions including support for driving research and development and piloting new technologies,” he says.

Green finance is clearly growing, but there remains a significant gap and filling that may require concerted efforts if India is to meet its developmental and sustainability goals. **BT**

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